

■ Volatility-Based Stop Loss

The core trend model presented in this edition does not have any traditional stop loss logic, and that is a departure from how the model was constructed in the 2013 edition of this book. With this change, I wanted to show how a simplified logic still gets the job done and I wanted to keep the book interesting for those who have already read the first edition. Adding a stop loss logic can be a double-edged sword, helping to reduce your losses while at the same time making you more vulnerable to whipsaws. The latter refers to markets where the price repeatedly moves up and down, strongly enough to kick you out of your position and to trigger re-entry. In such an environment, you may end up seeing multiple consecutive losses, which can be quite demoralising.

Adding stop loss logic is not primarily a matter of making performance better or worse, it is more a matter of changing the profile of the performance. That makes it in large part a matter of preference, and you would be well advised to experiment with variations to see which kind of return profile you are personally comfortable with and, if you manage external money, which kind your clients are likely most comfortable with.

For some types of trading approaches, a fixed stop loss point is used and the position would be closed if the price touches that level. But for trend-following models, where the aim is to stay with the trend for as long as possible, it makes more sense to maintain a trailing stop loss. This means that as the price moves in our favour, the stop loss point will keep moving with it. The stop will never move farther away from the price, and that means that for a long position, the stop will move up as the price moves up. What you would do is to decide on a distance, and then the stop point will be continuously adjusted up each time that we make a new high.

But that still leaves the most important question of how we define such a stop distance. Setting the stop distance to five dollars, for instance, wouldn't make much sense, given the very large differences in price levels involved. A five dollar pullback means something quite different if an asset is trading at US\$20 or at US\$300. You may think that a percent-based stop distance would make more sense, but that still doesn't work. For a market such as an equity index, a 2% move may be normal while a 0.2% is very rare for a money market futures market. At the same time, a 5% move is just a regular Thursday for palladium, and these days in the oil markets as well. No, we need to look beyond dollars or percentages.